(i) *External Aids*[16] are the best money as a means to fulfill a government's deficit requirements even if it is coming with soft interest. If they are coming without interest nothing could be better.

When India went to borrow from the IMF in the wake of the financial crisis of 1990–91, the body advised India to keep its fiscal deficit to the tune of 4.5 per cent of its GDP and noted it to be sustainable for the economy. What was the rationale behind this data? Basically, in those times with the foreign aids (soft loans either from the *WB* or from the *Aid India Forum*) India was able to manage its budget to the tune of 4.5 per cent of its GDP! In 2002, when India's fiscal deficit was around 6 per cent (5.7 per cent to be precise) the IMF validated it to be sustainable, the reasons were two—first, India was able to show a check on fiscal deficit and secondly, at the same time the forex reserves of the country were suitably higher to neutralise the negative impacts of the higher fiscal deficit than the suggested levels (4.5 per cent)!

External Grants are even better element in this case (which comes free—neither interest nor any repayments!) but it either did not come to India (since 1975, the year of the first Pokhran testings) or India did not accept it (as happened post-Tsunami, arguing grants/aids coming with a tag/conditions). That is why here this segment has not been discussed as a means to manage deficit.

(ii) *External Borrowings*[17] are the next best way to manage fiscal deficit with the condition that the external loans are omparatively cheaper and long-term.

Though external loans are considered an erosion in the nations sovereign decision making process, this has its own benefit and is considered better than the internal borrowings due to two reasons:

(a) External borrwing bring in foreign currency/hard currency which gives extra edge to the government spending as by this the government may fulfill its developmental requirements inside the country as well as from outside the country.

(b) It is prefered over the internal borrowings due to crowding out effect. If the government itself goes on borrowing from the